



ACCA

FA and FFA

Financial Accounting

September 2020 to August 2021

Mock – Answers



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SECTION A

1 B

The double entry for the new share issue is:

Dr Cash (100,000 × \$4)	\$400,000
Cr Share capital (100,000 × \$1)	\$100,000
Cr Share premium (bal. fig.)	\$300,000

Therefore the balance will be \$50,000 + \$300,000 = \$350,000

2 A and B

Discounts received should be a credit (not debit) balance. The dividend paid account balance has been transposed for inclusion in the trial balance.

3 \$12,300

$$\$12,500 + \$600 - \$800 = \$12,300$$

4 \$910

$$\$750 + \$1,135 - (\$7,650 - \$6,675) = \$910$$

5 D

This is an error of principle as an incorrect type of account has been used – i.e. an expense account has been debited, instead of an asset account.

6 C

An unrecorded direct debit will need to be recorded in the cash book. As it is a form of payment, it will be a credit entry in the cash book. Unpresented cheques should be deducted from the bank statement balance in a bank reconciliation. Dishonoured cheques should be a credit entry in the cash book to reflect the fact that an amount initially recorded as received, is no longer the case. Bank charges should be recorded as a credit entry in the cash book.

7 \$514,000

Cost	\$400,000
Accumulated Depreciation	(\$64,000)
(400,000/50) × 8 years	_____
Carrying amount at 31/12/X9	\$336,000

$$\text{Revaluation surplus} = \$850,000 - \$336,000 = \$514,000$$

8 A

Receivables			
	\$		\$
Bal b/d	65,000	Cash received	182,500
Sales	188,950	Irrecoverable debts	1,250
		Contra with payables	1,700
		Bal c/d	68,500
	253,950		253,950

9 B

Overdraft per bank statement	(\$865)
Add: unpresented cheques	(\$265)
Less: amount deducted by bank in error	\$325
Balance per cash book = credit balance	(\$805)

10 B

Credit purchases are recorded in the purchases day book, whereas cash purchases are recorded in the cash book.

11 A

Sales tax			
	\$		\$
Purchases	300	Sales	250
(\$3,300 × (10/110))		(\$2,500 × 10%)	
		Bal c/d	50
	300		300
Bal b/d	50		

12 D

Cost = \$300 and NRV = \$280 – \$75 = \$205

Per IAS2, inventory is valued at the lower of cost and NRV

13 C

Any balance on the revaluation surplus account will always be a credit balance.

14 B

It is not probable that there will be an outflow of economic benefits resulting from this situation, and therefore no provision can be recognised in the financial statements. However, as it is possible that there will be an outflow of economic benefits (30% chance), it is a contingent liability and the nature and potential financial consequences of the situation should be disclosed in the financial statements.

15 C

Settlement discount allowed to credit customers is adjusted against revenue, which will affect both gross profit and net profit. Settlement discount received from suppliers will increase only net profit.

16 C

The cost of a four-year warranty is written off as an expense over the four-year period covered by the warranty. If the cost of the warranty is paid in advance, there will be a pre-payment in the statement of financial position at each reporting date for the unexpired warranty term.

17 C

Any error which occurs whilst still positing an equal value of debits and credits into the ledger accounts will still result in a trial balance that balances. A trial balance may include compensating errors, which may still result in it being balanced. Also, there may be errors of principle, whereby the wrong type of account has been debited or credited, but an equal value of debits and credits have been posted into the ledger accounts (e.g. debiting the plant and equipment asset account with the cost of a repair, which should be posted to an expense account) – the trial balance will still balance.

18 C

$$\begin{aligned}\text{Gross profit margin} &= (\text{gross profit}/\text{revenue}) \times 100 \\ &= ((\$1,081,250 - \$432,500) / \$1,081,250) \times 100 \\ &= 60\%\end{aligned}$$

Make sure that you did not use the operating profit figure by mistake.

19 B

There are 400,000 shares (200,000/0.5)

$$\text{Interim dividend} = 400,000 \times 0.30 = \$120,000$$

Proposed dividends are a non-adjusting event after the reporting period as no obligation exists at the reporting date.

20 \$195,000

$$\$185,000 + (\$170,000 - \$160,000) = \$195,000$$

21 B and D

A subsidiary normally requires more than 50% ownership of shares (B Co) and an associate normally requires ownership of between 20% – 50% of the shares (C Co).

22 \$2,350

The revenue value of the invoice amount will be $\$2,500 \times 94\% = \$2,350$ after deduction of trade discount. Early settlement discount is not deducted from revenue at the point of sale as Pop does not believe that Weasel will make early settlement.

23 \$750 loss

Annual depreciation = $\$5,000/4 = \$1,250$

Carrying amount of the car at disposal = $\$5,000 - (3 \text{ yrs} \times \$1,250) = \$1,250$

Profit/(loss) = $\$500 - \$1,250 = (\$750)$

24 \$135,000

Opening liability \$130,000 plus charge for the year \$145,000 less closing liability \$140,000 = cash paid \$135,000.

25 D

Units of closing inventory = $48 + 50 + 80 - 90 = 88$

80 units × \$11.40	\$912
8 units × \$11.50	\$92
	\$1,004

26 D

Items (3) and (4) are circumstances that do not provide additional information of the situation at the reporting date and therefore will be classified as non-adjusting events after the reporting date.

27 A

$\$2,400 + \$83,700 + \$4,700 - \$3,800 - \$3,000 = \$84,000$

28 \$3 million

The development expenditure incurred from 1 October 20X1 can be capitalised.

3 month's × \$1m = \$3m

29 C

An asset is a resource (rather than obligation) controlled by an entity that arises from a past event (rather than future event).

30 B

The cash proceeds of \$3,000 will be classified as a cash inflow within 'Investing Activities'. The loss on disposal is an adjustment within 'Operating Activities' and therefore is not an investing activity.

31 D

Item (1) is untrue as it is possible that a business may receive a refund of sales tax – this would be a receivable. Item (2) is untrue as a business may have collected sales tax to be paid to the tax authority – this would be a liability. Item (4) is untrue as sales tax on purchases by a business registered to account for sales tax should be recorded as a debit entry in the sales tax account (i.e. it is recoverable).

32 A

Reducing an accrual will decrease expenses and therefore profit will increase. Liabilities will also decrease, thus increasing net assets.

33 D

Answer A is incorrect as, even if the volume of sales has increased, if they are sold using the same revenue/cost/profit basis as before, the gross profit margin will not change. Answer B is incorrect as prompt payment (early settlement) discounts received do not affect gross profit – it is sundry income. Answer C is incorrect as higher levels of inventory obsolescence will increase cost of sales which, in turn, will reduce the gross profit margin.

34 A

Dividends are not an expense so there will be no profit impact.

35 B

Goodwill and non-controlling interests are recognised when consolidating a subsidiary. Recognition of goodwill and non-controlling interest are not relevant issues when accounting for an associate.

SECTION B

1 POODLE GROUP

(a)

- (i) Property plant and equipment \$871,815
 (\$450,000 + \$321,825 + \$100,000 FV uplift) **(1.5 marks)**
- (ii) Inventories \$116,500
 (\$75,000 + \$45,500 – \$4,000 PURP) **(2 marks)**
- (iii) Receivables \$55,175
 (\$32,000 + \$43,175 – \$20,000 Inter-co) **(1.5 mark)**
- (iv) Retained earnings

	\$
Poodle's retained earnings	490,000
Poodle's % of post-acquisition retained earnings (80% × \$93,000)	74,400
PURP (25/125 × \$20,000)	(4,000)
	560,400

(2 marks)

- (v) Payables \$151,425
 (\$100,000 + \$71,425 – \$20,000 inter-co) **(1.5 marks)**

(b)

(1 mark)

		<i>Selected answer</i>
(i)	\$300,000 + \$270,000	
(ii)	\$300,000 – \$270,000	Correct
(iii)	\$300,000	

(c)

(2 marks)

		<i>Selected answer</i>
(i)	Fair value of consideration paid Less: fair value of the non-controlling interest at acquisition date Plus: Fair value of net assets at the acquisition date	
(ii)	Fair value of consideration paid Less: fair value of the non-controlling interest at acquisition date Less: Fair value of net assets at the acquisition date	
(iii)	Fair value of consideration paid Plus: fair value of the non-controlling interest at acquisition date Less: Fair value of net assets at the acquisition date	Correct

(d) (1.5 marks)

		<i>Selected answer</i>
(i)	Fair value of non-controlling interest at acquisition Plus NCI% × change in fair value of net assets between acquisition date and reporting date	Correct
(ii)	Fair value of non-controlling interest at acquisition Plus NCI% × fair value of net assets at reporting date	
(iii)	Fair value of non-controlling interest at acquisition Plus NCI% × at acquisition date	

(e) (2 marks)

	<i>True/False</i>
Goodwill arising on consolidation of a subsidiary is accounted for as a tangible non-current asset.	False
Non-controlling interest is classified as a liability in the consolidated statement of financial position.	False

(Total: 15 marks)**Note: Completed consolidated statement of financial position provided for reference.**

\$

Assets**Non-current assets**

Property, plant and equipment (\$450,000 + \$321,825 + \$100,000 FV uplift)	871,825
Goodwill (W3)	16,000
Investments (\$300,000 – \$270,000 re Setter)	30,000

Current assets

Inventories (\$75,000 + \$45,500 – \$4,000 PURP)	116,500
Trade and other receivables (\$32,000 + \$43,175 – \$20,000 Inter-co)	55,175
Cash and cash equivalents	3,000

Total assets	1,092,500
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Equity and liabilities**Equity**

Issued share capital	100,000
Share premium	20,000
Retained earnings (W5)	560,400
Non-controlling interest (W4)	82,100

Non-current liabilities: Loans (\$150,000 + \$17,500)	167,500
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Current liabilities

Trade and other payables (\$100,000 + \$71,425 – \$20,000 inter-co)	151,425
Bank overdraft	11,075

Total equity and liabilities	1,092,500
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Workings**(W1) Group structure**

Poodle owns 80% of the equity share capital of Setter.

(W2) Net assets of subsidiary

	<i>Acquisition date</i>	<i>Reporting date</i>	<i>Post-acquisition</i>
	\$	\$	\$
Share capital	50,000	50,000	
Share premium	10,000	10,000	
Retained earnings	157,500	250,500	
FV uplift	100,000	100,000	
	317,500	410,500	93,000

(W3) Goodwill

	\$
Consideration paid	270,000
FV of NCI at acquisition	63,500
	333,500
FV of net assets at acquisition (W2)	(317,500)
	16,000

(W4) Non-controlling interest

	\$
FV of NCI at acquisition	63,500
NCI % of post-acquisition net assets (20% × \$93,000)	18,600
	82,100

(W5) Retained earnings

	\$
Poodle's retained earnings	490,000
Poodle's % of post-acquisition retained earnings (80% × \$93,000)	74,400
PURP (25/125 × \$20,000)	(4,000)
	560,400

Marking scheme		
		<i>Marks</i>
(a)	Property, plant and equipment	1.5
	Inventories	2.0
	Receivables	1.5
	Retained earnings	2.0
	Payables	1.5
(b)	Investments	1.0
(c)	Goodwill	2.0
(d)	Non-controlling interest	1.5
(e)	True/false statements	2.0
Total		15

2 BUZZARD CO

(a) Statement of profit or loss for the year ended 30 September 20X6

	\$
Revenue	360,250
Cost of sales - Item 1 - (W1)	(173,750)
Gross profit	186,500
Administrative expenses – Item 2 - (W2)	(70,800)
Distribution costs	(42,815)
Profit before tax	72,885
Income tax charge – Item 3 - (W3)	(14,000)
Profit after tax for the year	58,885

Item 1 – Choose the correct calculation of cost of sales

	<i>All figures are in \$000</i>	<i>Selected answer</i>
(i)	\$20,000 + \$145,380 + \$23,500 - \$30,370	
(ii)	\$20,000 + \$145,380 - \$23,500 + \$30,370	
(iii)	\$20,000 + \$145,380 – \$22,000 + \$30,370	Correct

Item 2 – Choose the correct calculation of administrative expenses

	<i>All figures are in \$000</i>	<i>Selected answer</i>
(i)	\$67,300 + 2,500 - \$6,000	
(ii)	\$67,300 + \$6,000 - \$3,500	Correct
(iii)	\$67,300 + \$6000	

Item 3 – Choose the correct calculation of the income tax charge

	<i>All figures are in \$000</i>	<i>Selected answer</i>
(i)	\$15,000	
(ii)	\$15,000 + \$1,000	
(iii)	\$15,000 - \$1,000	Correct

(b) Statement of financial position as at 30 September 20X6

	\$
Non-current assets	
Property, plant and equipment (\$199,850 – \$48,000 – \$30,370 (W1))	121,480
Current assets	
Inventories - Item 1 - (W1)	22,000
Receivables – Item 2 - (\$47,450 – \$6,000)	41,450
Total assets	184,930
Equity and liabilities	
Issued share capital @ \$1 shares	20,000
Retained earnings (W4)	119,885
	139,885
Current liabilities	
Trade and other payables	27,795
Income tax liability - Item 3 - (W3)	15,000
Bank overdraft	2,250
Total equity and liabilities	184,930

Item 1 – Choose the correct calculation of inventories

	<i>All figures are in \$000</i>	<i>Selected answer</i>
(i)	\$23,500 - \$5,000 + \$3,500	Correct
(ii)	\$23,500 + \$5,000 - \$3,500	
(iii)	\$23,500 _ 5,000 + \$3,500	

Item 2 – Choose the correct calculation of receivables

	<i>All figures are in \$000</i>	<i>Selected answer</i>
(i)	\$47,450 - \$6,000 + \$2,500	
(ii)	\$47,450 - \$6,000	Correct
(iii)	\$47,450 + \$6000 - \$2,500	

Item 3 – Choose the correct calculation of the income tax liability

	<i>All figures are in \$000</i>	<i>Selected answer</i>
(i)	\$15,000 - \$1,000	
(ii)	\$15,000	Correct
(iii)	\$15,000 + \$1,000	

Workings**(W1) Cost of sales**

	\$
Opening inventory	20,000
Purchases	145,380
Closing inventory (\$23,500 – (\$5,000 – \$3,500))	(22,000)
Depreciation ((\$199,850 – \$ 48,000) × 20%)	30,370
	173,750

(W2) Administrative expenses

	\$
Per TB	67,300
Increase in allowance (\$6,000 – \$2,500)	3,500
	70,800

(W3) Income tax

	\$
Overprovision re earlier year per TB	(1,000)
Tax charge for the year	15,000
	14,000

Note: the overprovision for the earlier year in the trial balance is released back to P&L as it is no longer required. You also need to account for the tax charge on the profit for the year in both P&L and also as a liability on the SOFP at the year end.

(W4) Retained earnings

	\$
Per TB	64,000
Profit after tax for the year per P&L	58,885
Less: Dividend paid during the accounting year	(3,000)
	119,885

Note: dividends are paid from retained earnings. They are not an expense to be included in P&L.

Marking scheme		Marks
(a) Statement of profit or loss		
Format		0.5
Revenue		0.5
Cost of sales		3.0
Admin		2.0
Distribution		0.5
Tax		0.5
	Maximum	6.5
(b) Statement of financial position		
Format		0.5
Property, plant and equipment		2.0
Inventories		1.0
Receivables		1.5
Overdraft		0.5
Share capital and retained earnings		2.5
Payables		0.5
Tax payable		0.5
	Maximum	8.5
Total		15

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